

WORKING VERSUS RETIRING IN THE THIRD WORLD

Vicki and I live in Buenos Aires, Argentina. If you've heard anything at all about Argentina it probably has to do with war and killings. Some horrible things have happened there over the past several decades, and many of them get a lot of press. Partly as a result, people tend to ignore Argentina's startling economic collapse. If Japan is a jet and the United States a turbo prop, Argentina is the Wright brothers' airplane, crashing into the North Carolina sand dunes time and again.

In 1981 *Euromoney* magazine studied how the world's economies had performed since the 1973 OPEC oil crisis. Researchers fed tons of data through an econometric model. They concluded that Argentina has the world's sickest economy. Curiously, Argentina is floating in oil. OPEC had little to do with Argentina's problems. It might be more correct to say that Argentina managed to fail *in spite of* OPEC's efforts to help out.

Economists categorize countries as developed, less developed, or developing. The idea is that a country *be* developed or *get* developed. Argentina requires a label all its own. Eighty years ago Argentina *was* developed. Argentina traded more than Canada or Australia. The standard of living compared to that of Western Europe and the United States. But Argentina managed to undevelop itself. The Argentina of today faces declining real wages, growing unemployment, hyperinflation, and huge foreign debt. Once an exporter of meat and other food, Argentina now imports or wants to import beef, chicken, and eggs from neighboring Uruguay. The Argentine peso used to trade in world markets. Now the peso's successor, the austral, trades in Uruguay alone. Argentina once had a fine phone service. Now ENTEL, the state telephone company, brags in newspaper ads that the average waiting time to get a phone has been reduced to ten years.

No one could confuse Argentina with a country that works.